It is an expression of the principle of "regression to the mean." For approximately 199,700 years of human existence, a man's labor in India was about as rewarding as a man's labor in Africa or Europe. It's only in the past 300 years or less that wages in Europe and its Europeanized colonies raced ahead. Is there some inherent reason why one human should be more productive than another? Not that we know of. And, if not, we can expect the abnormality to be corrected, with the wages of humans in India and Indianapolis both regressing to a mean.

But how did they get so far apart? What, exactly, was going on—and why might it have come to an end now?

"PROGRESS"

Much of the growth and prosperity of the developed world—if not all of it—can be traced to innovations and discoveries brought "on line" in the eighteenth and nineteenth centuries and fully expressed in the twentieth. These were two: America and the use of fossil fuel.

When Columbus crossed the Atlantic in 1492, he was only marginally richer, more productive, and more technologically advanced than other seafarers from centuries earlier. The Chinese roamed large areas of ocean. So did the Phoenicians. And the Vikings. But America is much closer to Europe than to China, and the Europeans who followed Columbus were ready, willing, and able to take advantage of his discovery.

Europeans found almost unbelievable quantities of new resources. The Iberians—from Spain and Portugal—focused on what is today Latin America. The French and English directed their energies to North America. At first, the Iberians seemed to get the best of the bargain. They found money—gold and silver—which gave their economies an immediate rush. But the effect was short lived and harmful. What they got was the equivalent of today's sugar rush from printing-press money: an increase in the supply of money with no increase in the ability to produce things. The result was inflation—and the impoverishment of the entire Iberian Peninsula.